GLOBAL RATES TRADER

Term Premia Take a Breather

Relaxation about risks from the conflict has compressed Treasury term premium, with only modest contribution from the policy expectations channel so far. We see room for US yields to fall further on additional progress towards a resolution or dovish macro data, but expect deeper rallies to be led by points further in on the curve as the case for continued long-end outperformance looks more challenging. The combination of a hawkish ECB, commodity relief and weaker activity numbers continues to support EUR duration despite the rally in recent weeks—stay long 5y5y EUR real yields. Rates vol should remain lower in Europe, supporting sovereign credit carry despite tight spreads. In the UK, term premium relaxation has probably run its course—we prefer front-end longs and curve steepeners. Next week's speech by Governor Ueda will be a focal point as markets weigh the likely timing of the BOJ's next rate hike; while volatility has remained concentrated in longer-term forwards, we think bearish pressure should shift in towards the 5y point over time.

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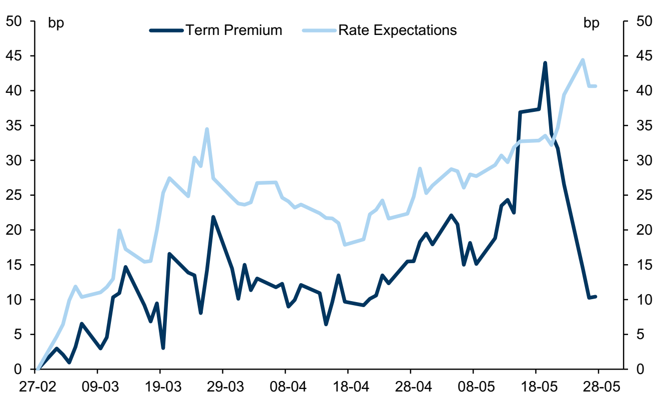
United States and Canada

- **Rate rally reflects reduced risk premia.** Long-end Treasury yields have continued their descent from their mid-month peak amid ongoing optimism about a potential resolution to the conflict and rebuild in flows through the Strait. The long-end yield move has largely shown up as a compression in Treasury term premium, with only modest contribution from the expectations component of yields (Exhibit 1). That dynamic that has seen the yield curve move steadily flatter through the course of the month despite the back and forth in outright yield levels. While hawkish Fed communication has reinforced the curve shift, we think that the argument for continued long-end outperformance looks more challenging. The rally has undone the relatively modest valuation gap in longer-term forwards and the term premium compression suggests that the market has already embedded a combination of reduced uncertainty and a return of duration's portfolio value. We think a meaningful extension of the yield move would likely need to incorporate some shift in the distribution of risks around the Fed path. Although renewed oil upside would likely reinvigorate inflation worries and add to hawkish policy concerns, it would also erode the factors that have contributed to the relief thus far. Next week's labor market report presents two-way near-term risks—but we expect the slack and wage signals to be key to the market's interpretation—we think more benign underlying inflation pressures and a further reduction in concerns around the conflict can support nearer-term forwards and a steeper curve. Our preference remains to tether any long bias to ourperformance of the 5y part of the curve.

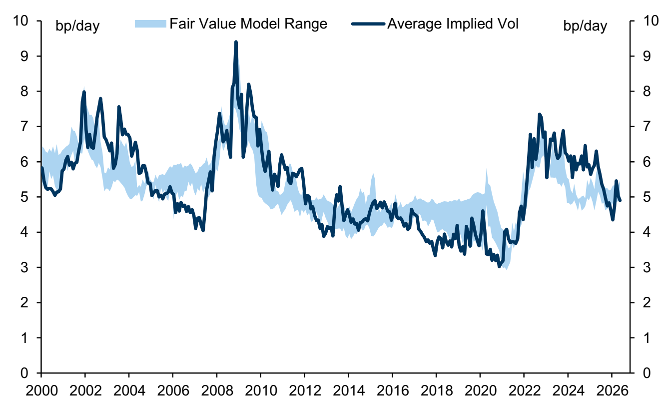
- **Consolidation and vol compression favors considering hedges.** US rates vol has turned lower following the most recent pop, taking implied vol on longer tails towards conflict-lows and the overall level of vol back to the lower end of our fair value estimates (Exhibit 2). We think there is value to using this reset lower to consider hedges as the rates market balances between a more hawkish Fed tone, optimistic growth pricing, and increased hope about a potential resolution to the conflict—a mix that has seen the front-end lag the reset lower in yields further out the curve. While our baseline is a non-recessionary one (curtailing the clearest route to receivers returns), fading fiscal tailwinds and the hit to disposable income from higher energy prices pose risks to the consumer, and we think US rates are putting too much mass on the right tail of the policy path. Such environments lend themselves well to using modestly out-the-money receivers on short-to-medium tails (i.e. 2-to-5y), with value to owning slightly longer expiries (i.e. 1y over 3m) as hedges against deeper downside risks. Against that, the combination of the relief priced in further out the curve (see above) and compression in rate vol leave short expiry at-the-money payers on longer (e.g. 10y) tails our preferred hedge for investors wary of renewed escalation.

Exhibit 1: The recent US rally has been predominantly driven by a reset in Treasury term premium
Change in 10y UST term premium/rate expectations, GS estimate



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

Exhibit 2: Implied vol is at the bottom of our range of estimates of fair
Average Implied Vol vs fair value model range



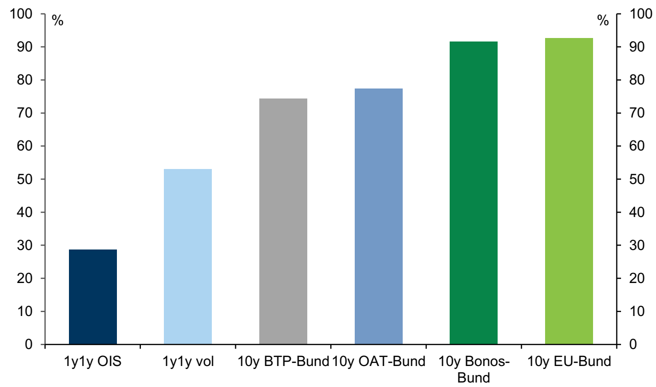
Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

- **Wider swap spreads led by risk relief.** The long-end has led swap spreads wider over the past month, taking spreads to levels that are slightly wide and leaving the spread curve slightly steep versus the levels implied by our swap spread framework. The performance reflects a few key factors in our view. First has been the easy funding environment; despite some normalization in repo rates towards month-end, we expect the funding backdrop to remain relatively benign (if not necessarily as persistently rich) as the Fed manages reserves towards equilibrium levels. Second, rates vol has declined this week on reports that the US and Iran are nearing a deal to reopen the Strait. We think this has been more meaningful for the long end, supporting the spread curve steepening. Third, there has been little sustained cheapening pressure on Treasuries versus other forms of duration that would suggest material shifts in the supply/demand balance outside of the initial stage of the conflict. The US-Iran conflict has generated some Treasury selling pressure from foreign official investors, but bank/dealer absorption in March and a more favorable bill supply backdrop in April and early May have likely been offsets. While spreads are slightly wide versus fundamentals, valuations are not stretched, and we think that further progress towards a resolution to the conflict can be supportive via vol moderation and potentially a turn in foreign official demand if the Dollar weakening trend reemerges. We have liked being long 3y spreads for carry, and continue to think that position make sense, but think more levered forward expressions that carry well (e.g. 5y2y) stand to outperform should recent dynamics extend.

Europe

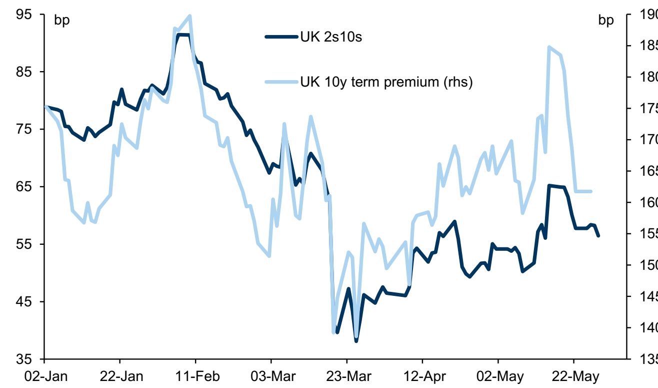
- **Still positive EUR duration**. European yields have continued to fall alongside the global relief rally over the past week. The prospect of a deal in the Middle East has capped upside risks to inflation (for now) while ECB communication, particularly last week's interview from Board member Schnabel, points to a high likelihood of a June hike. This combination, together with ongoing weak activity signals from surveys, is positive for EUR duration, and we continue to recommend long 5y5y EUR real rates. EUR rates have outperformed the US since the middle of April, and the move in 1y1y cross-market spreads has been particularly large. But divergence in activity signals between the US and Europe should keep these spreads wide. Given that ECB tightening is predominantly due to higher energy prices, the European front-end will remain sensitive to news on commodity flows through the Strait of Hormuz. However, with lingering energy market tightness likely to lead to at least some ECB tightening, we retain a flattening bias beyond U6.
- **Sovereign spreads tight but still a reasonable carry trade.** Since the cease-fire was struck between the US and Iran, we have argued that the potential for a disconnect between front-end rate levels and volatility — with the former being sticky and the latter diminishing — would be consistent with sovereign spread compression. We still believe that further evidence of progress in negotiations towards a deal would see rates volatility decline and sovereign credit benefit as a result. However, we note that sovereign spread compression has run ahead not only of relief in core rates but also in rates volatility. Sovereign spreads have retraced a large portion of their post-conflict widening, with the retracement share decreasing with credit risk (Exhibit 3). Against this, we see a high hurdle for further tightening, even as we still see a place for sovereign credit for carry. Broadly speaking, the Euro area has been a receiver rather than provider of bearish shocks in recent weeks. Moreover, we do not expect domestic politics and policies to be a material headwind to sovereign credit. Fiscal policy responses to the energy shock continue to be muted across the Euro area, and we believe 2027 elections across a number of key Euro area countries are likely to become relevant into Q4.

Exhibit 3: Sovereign spread compression has run ahead of relief in rates levels and volatility
Retracement from post-conflict peak / wides. Using GS fitted yields



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

Exhibit 4: Recent bull-flattening is consistent with the relief in 10y term premium
GS fitted yields and term premium model



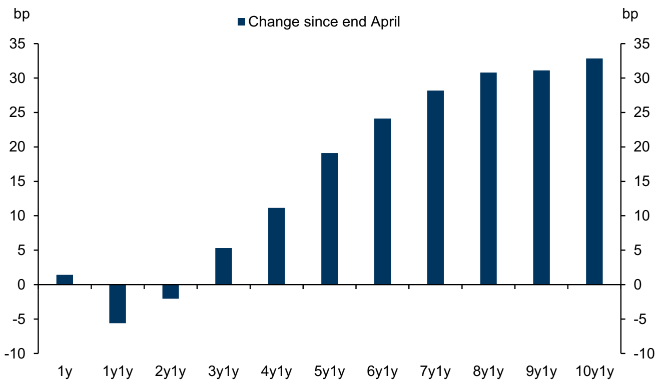
Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

- **Gilts notch up a strong week; expect steepening from here**. Although politics will likely remain in focus into the 18 June Makerfield by-election, risks relaxed in the Gilt market again this week as renewed hopes for a US-Iran deal weighed on energy prices. The bull-flattening of the Gilt curve in the last two weeks is consistent with term premium compression — our term premium estimates show a sharp fall after the rise in early May (Exhibit 4). Additionally, Gilts have ~~also~~ outperformed swaps, pointing to a relaxation of supply-related risks. However, we continue to think that durable relief for Gilts will be front-end-led, given that macro data continues to soften, and the UK's fiscal situation and political risks are likely to remain in focus over coming weeks and months. We recommend 1y forward 2s10s GBP OIS steepeners (target 55bp, stop 25bp) for this view, where negative carry is not particularly punitive.

Japan

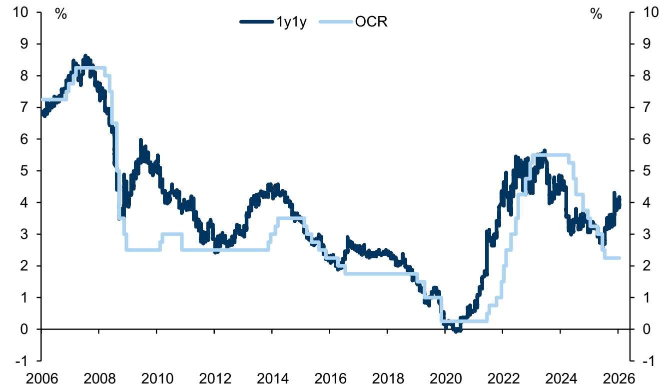
- **Waiting for a signal on hikes.** Markets continue to price over 70% probability of a BoJ hike in June which, while elevated, still reflects some uncertainty about whether the BoJ will move in June or July. Our economists think that a July hike is more likely, judging that the BoJ may feel more comfortable tightening after receiving additional CPI and wage data. Governor Ueda's speech on June 3rd could provide a meaningful policy signal ahead of the June meeting. His comments last week that the BoJ would conduct policy for "stable inflation" and is more attuned to supply risks at the long end supported long-end outperformance. That relief has extended this week on news of a potential US-Iran agreement, but the 2s10s JGB curve remains steep and over the course of May the repricing in yields was mainly a function of forwards further out, with very little movement in the front-end (Exhibit 5). Fiscal news in June, like the details of the supplementary budget, could raise that risk premium further. We continue to think that domestic factors are the primary driver of higher risk premium and it will take more than global rates relief to bring lasting stability. Given the instability of bear steepening regimes, we would look for the 5y point to bear a greater share of bearish pressure over time.

Exhibit 5: Recent JPY rate repricing mainly a function of forwards further out
JPY Forward rates, change since end April



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

Exhibit 6: NZD forwards have decoupled notably from spot policy



Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

Australia and New Zealand

- **Earlier RBNZ hikes.** The RBNZ kept rates on hold this week in a contentious meeting in which Chair Breman had to cast a tie-breaking vote. The revisions to the policy path were notably hawkish across the forecast horizon, and our economists now expect a hike at each of the July and September meetings (instead of December and February) in line with the guidance at the press conference. Beyond the initial hikes, however, our economists think the outlook for inflation and the labor market should be sufficiently weak to keep further hikes in check. Against that, forwards remain quite elevated relative to our or the RBNZ's policy projections (about 60bp above the peak), with more than 125bp of hikes priced cumulatively through end-27 (Exhibit 6). While starting levels and the speed of response are decidedly different from the RBA, a willingness to tighten policy despite still notable slack in the economy and medium-term fiscal consolidation can still work to trim right tail risks and potentially help to compress some of the right tail risks priced into the forwards.

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Forecasts

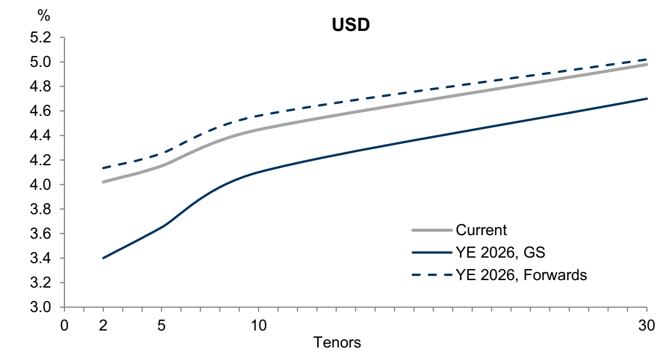
G10 10y yield forecast

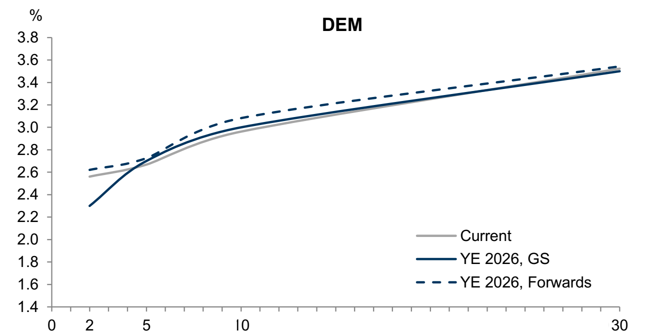
G10 10-Year Yield Forecasts													
	USD	DEM	FRA	ITA	ESP	GBP	JPY	CAD	CHF	SEK	NOK	AUD	NZD
Spot	**4.45**	**2.96**	**3.57**	**3.67**	**3.37**	**4.81**	**2.67**	**3.41**	**0.41**	**2.80**	**4.35**	**4.83**	**4.51**
2Q26	4.30	2.90	3.65	3.70	3.45	4.65	2.50	3.45	0.30	3.15	4.10	4.85	4.50
3Q26	4.20	2.95	3.70	3.80	3.50	4.50	2.50	3.50	0.40	3.20	4.00	4.75	4.50
4Q26	**4.10**	**3.00**	**3.75**	**3.85**	**3.55**	**4.40**	**2.50**	**3.50**	**0.50**	**3.25**	**4.00**	**4.70**	**4.50**
1Q27	4.10	3.00	3.75	3.90	3.60	4.40	2.45	3.50	0.50	3.25	4.00	4.60	4.50
2Q27	4.10	3.00	3.75	3.90	3.60	4.30	2.40	3.50	0.50	3.25	4.00	4.50	4.50
3Q27	4.15	3.00	3.75	3.90	3.60	4.30	2.30	3.50	0.50	3.25	4.00	4.50	4.50
4Q27	**4.15**	**3.00**	**3.75**	**3.90**	**3.60**	**4.25**	**2.25**	**3.50**	**0.50**	**3.25**	**4.00**	**4.50**	**4.50**

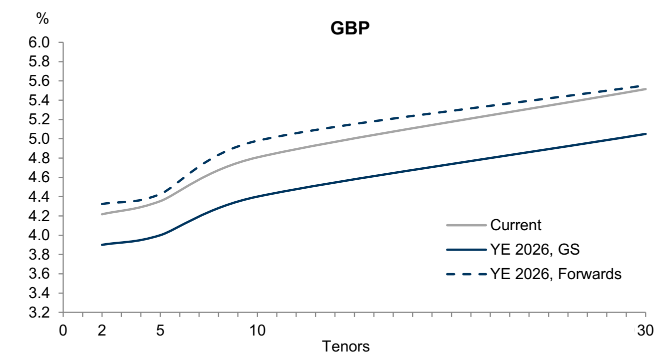
Deviation from Forwards													
	USD	DEM	FRA	ITA	ESP	GBP	JPY	CAD	CHF	SEK	NOK	AUD	NZD
2Q26	-0.16	-0.09	0.04	-0.01	0.06	-0.19	-0.19	0.01	-0.11	0.36	-0.24	0.01	-0.04
3Q26	-0.31	-0.09	0.00	0.00	0.05	-0.43	-0.27	0.00	-0.05	0.39	-0.33	-0.12	-0.10
4Q26	-0.46	-0.08	0.00	-0.01	0.04	-0.58	-0.34	-0.04	0.03	0.41	-0.32	-0.19	-0.17
1Q27	-0.51	-0.12	-0.05	-0.02	0.04	-0.62	-0.47	-0.07	0.01	0.38	-0.31	-0.31	-0.24

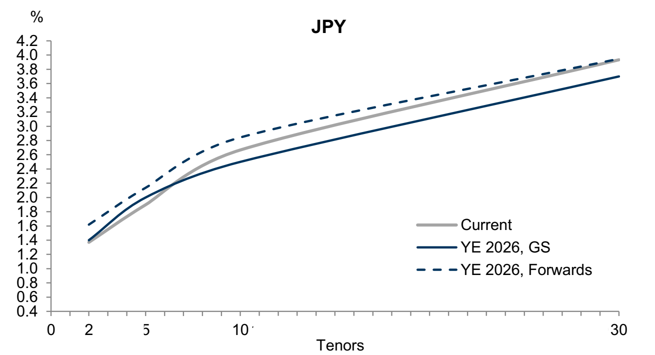
Source: Goldman Sachs Global Investment Research

G4 Curve Forecast





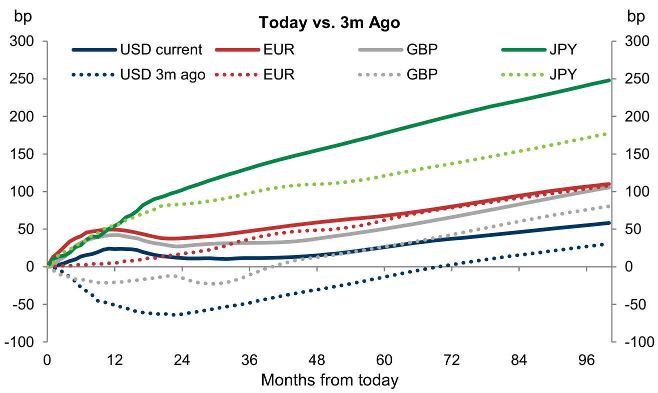




Source: Bloomberg, Goldman Sachs Global Investment Research

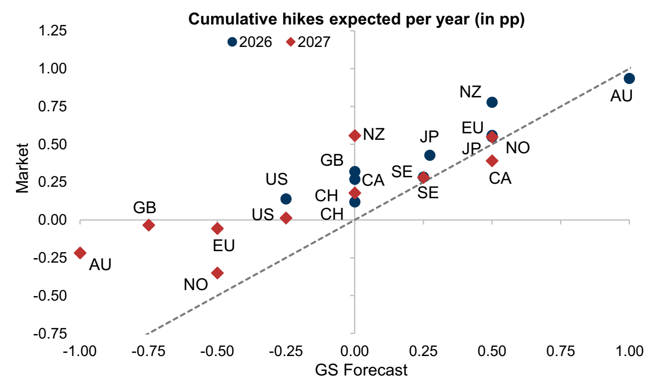
Central Bank Dashboard

Cumulative amount of hikes/cuts priced from today



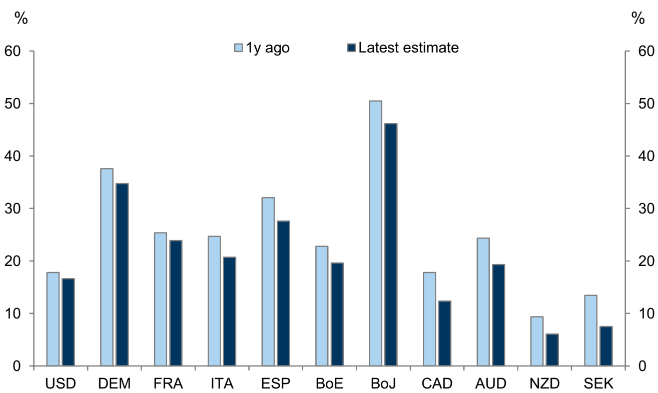
Source: Goldman Sachs Global Investment Research

Expected hikes by year, GS vs. Market



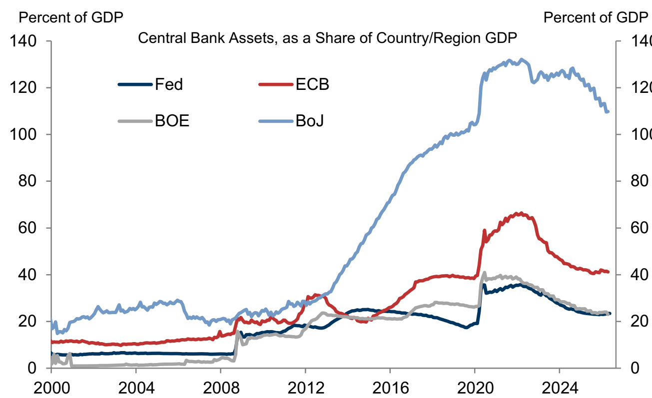
Source: Goldman Sachs Global Investment Research

Central bank ownership of sovereign bonds, current vs. 1y ago



Source: Haver Analytics

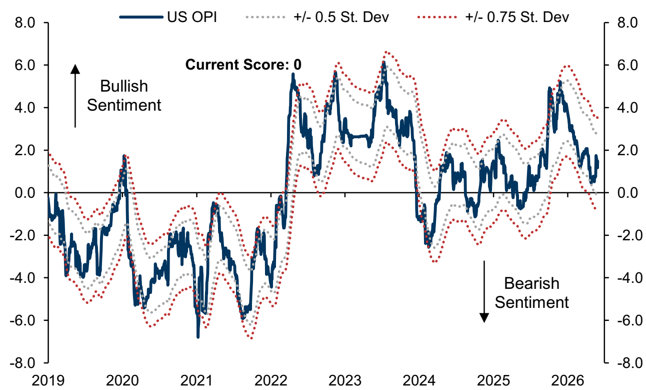
Central bank assets as a share of GDP



Source: Haver Analytics

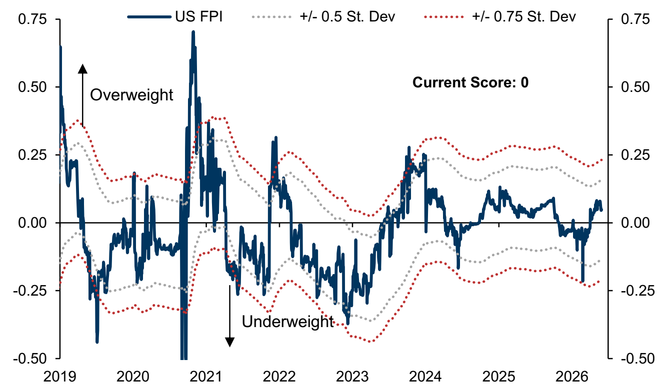
Positioning and Flows Monitor

Option implied position indicator



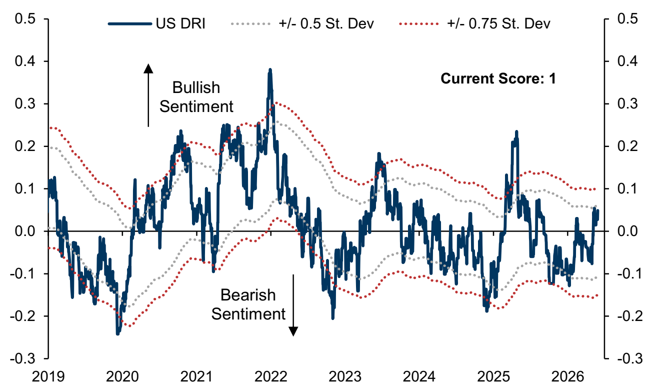
Source: Goldman Sachs Global Investment Research

GS Fund Positioning Indicator



Source: Goldman Sachs Global Investment Research

US Data Response Indicator (DRI)



Source: Goldman Sachs Global Investment Research

CFTC Commitment of Traders and Traders in Financial Futures

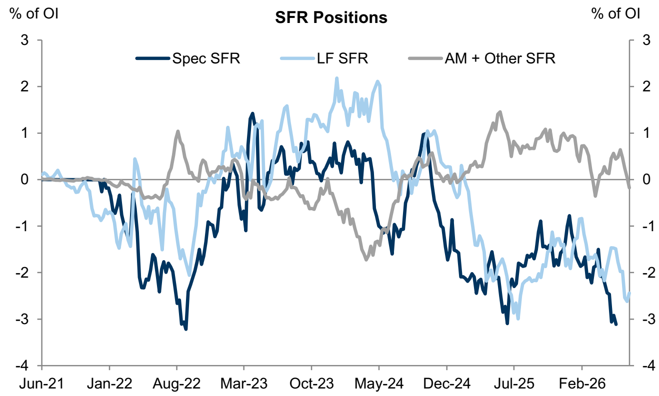
Duration-weighted net position by investor type

Duration-Weighted Positioning, by Contract

$mm/bp	SFR	TU	FV	TY	TN	US	WN
Spec Current	-50.2	-54.2	-53.8	-50.8	-9.7	-25.5	-42.8
Spec 1w Change	-5.9	1.7	1.8	-3.8	-2.0	-1.2	-1.3
LF Current	-45.1	-65.0	-92.1	-121.9	-23.3	-44.7	-148.7
LF 1w Change	0.5	2.7	4.0	0.7	-1.7	-2.4	2.9
AM + Other Current	-3.9	76.9	119.6	148.7	53.3	59.9	183.2
AM + Other 1w Change	-4.9	0.0	2.7	7.2	-1.1	-1.1	-17.5
Dealer Current	49.0	-14.1	-26.2	-31.3	-19.7	-25.8	-33.0
Dealer 1w Change	4.4	-2.0	-2.7	-9.3	1.7	6.0	13.7

Source: CFTC, Goldman Sachs Global Investment Research

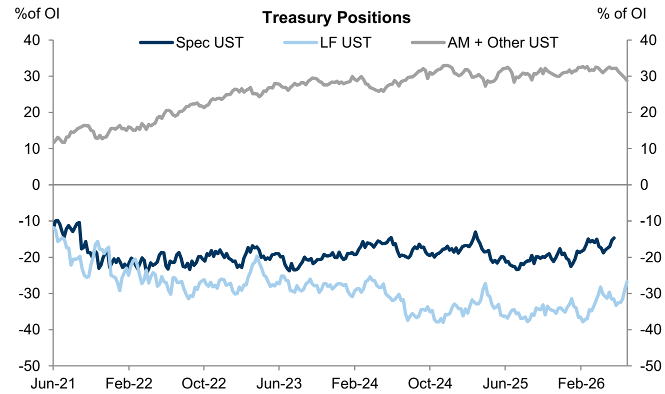
Net positions in Eurodollars



Note: Duration-weighted net position (long - short) as a % of duration-weighted gross exposure (long + short + spreading)

Source: CFTC, Goldman Sachs Global Investment Research

Net positions in UST futures

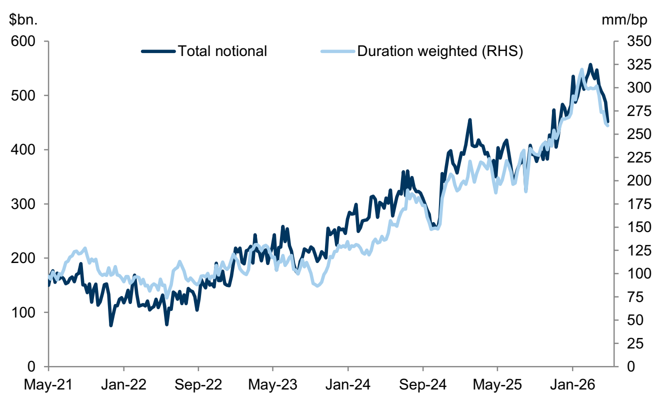


Note: Duration-weighted net position (long - short) as a % of duration-weighted gross exposure (long + short + spreading)

Source: CFTC, Goldman Sachs Global Investment Research

Primary dealer transactions

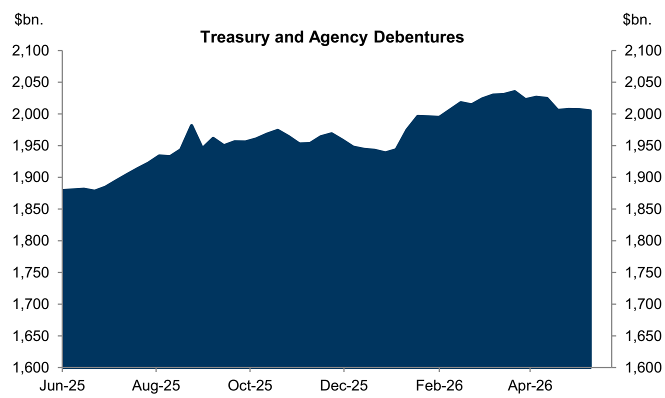
Net dealer position in US Treasuries



Source: Federal Reserve Bank of New York, Goldman Sachs Global Investment Research

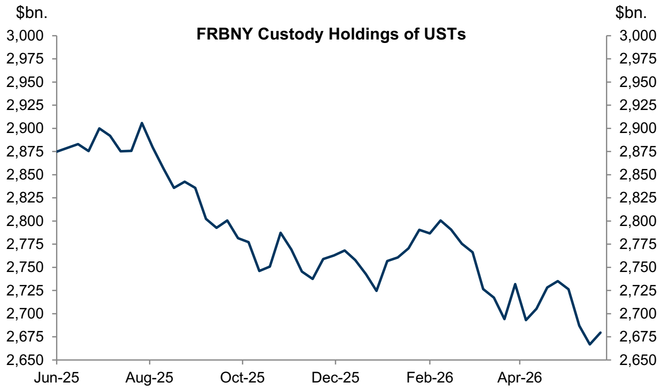
US Commercial Banks' Holdings of Treasury and Agency Securities

Total domestic and foreign holdings, all commercial banks



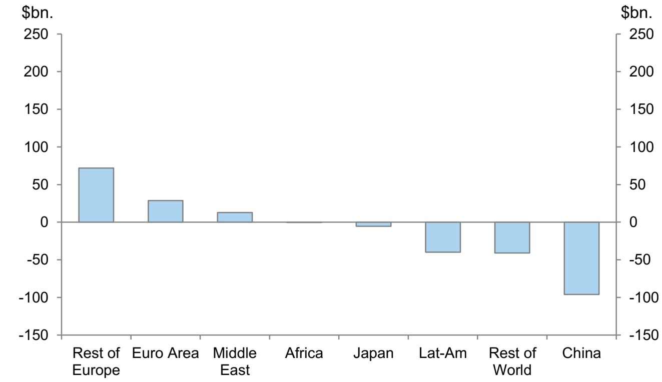
Source: Federal Reserve Board

NY Fed Custody Holdings
Marketable US Treasuries



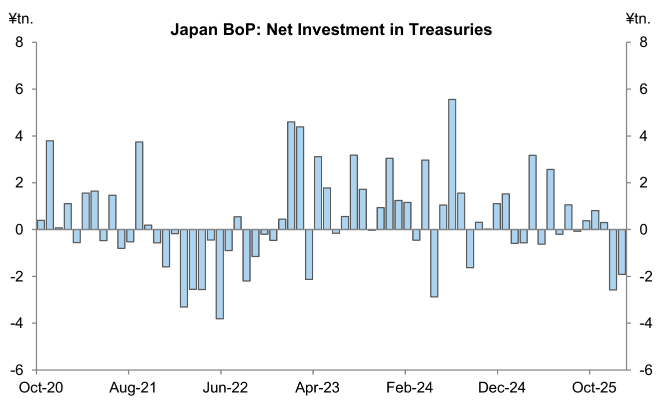
Source: Federal Reserve Bank of New York

US TIC Treasury Flows
12m change in valuation-adjusted holdings of USTs, by holder of debt



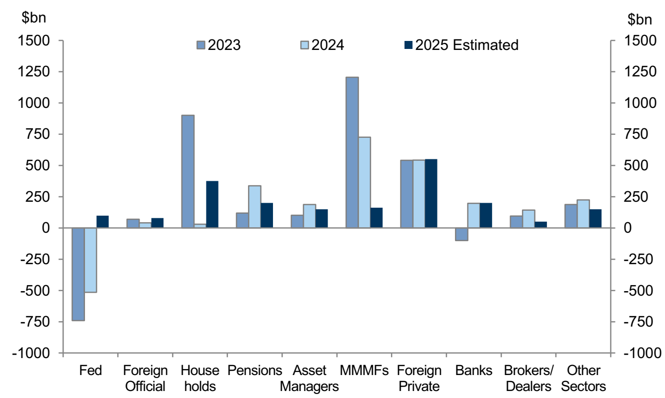
Source: US Treasury, Goldman Sachs Global Investment Research

Net monthly purchases of short- and long-term US Treasuries by Japanese investors



Source: Bank of Japan, Haver Analytics

Flow of Funds annual net purchases of US Treasuries, by sector

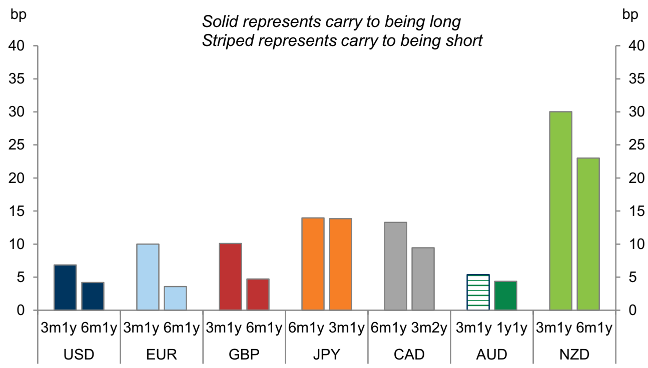


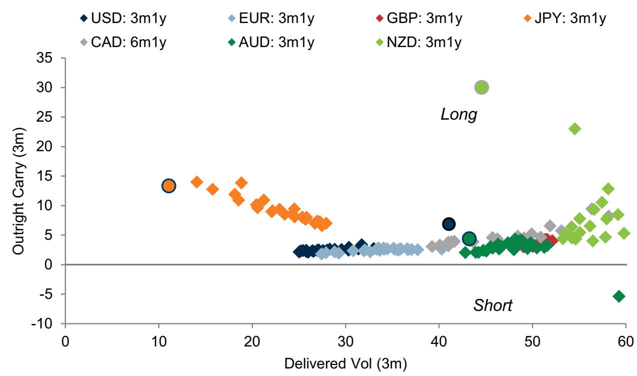
Source: Federal Reserve Board, Goldman Sachs Global Investment Research

Carry/Rolldown Monitor

Outright Carry

Bar chart shows top two carry points by currency, with solid reflecting carry to a long position and striped carry to a short position. Scatter illustrates top 25 carry/vol points by currency, with top point by currency noted

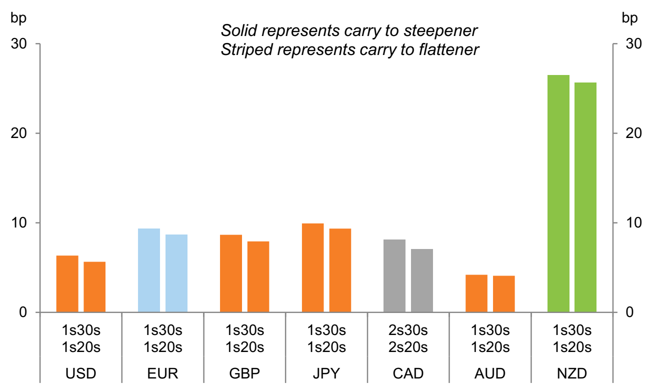


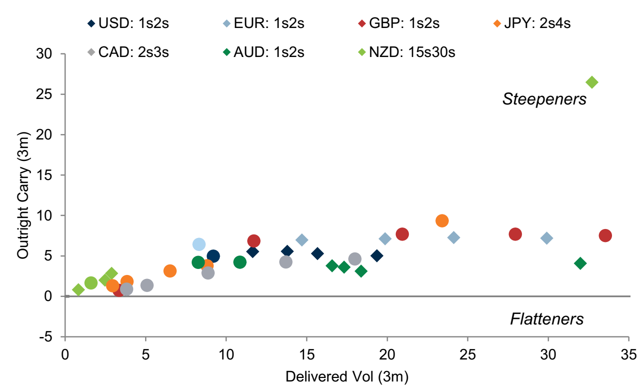


Source: Goldman Sachs Global Investment Research

Curve Carry

Bar chart shows top two carry curves by currency, with solid reflecting carry to a steepening position and striped carry to a flattening position. Scatter illustrates top 5 carry/vol curves by currency, with top curve by currency noted

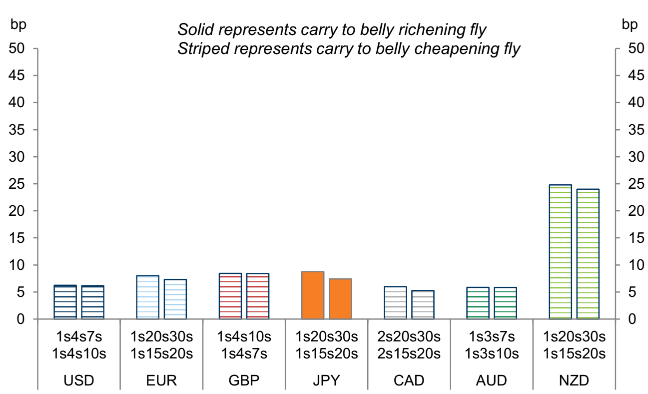


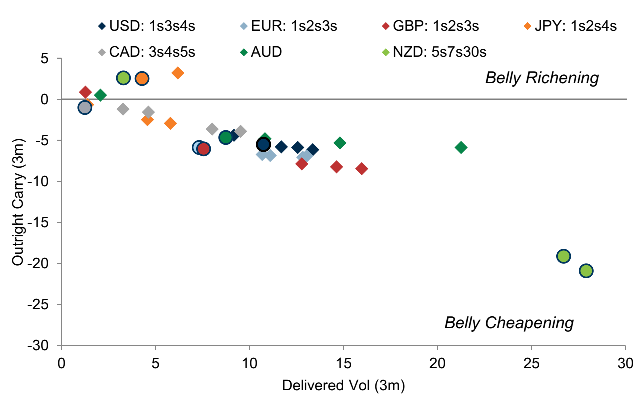


Source: Goldman Sachs Global Investment Research

Fly Carry

Bar chart shows top two carry flies by currency, with solid reflecting carry to a belly-richening fly and striped carry to a belly-cheapening fly. Scatter illustrates top 5 carry/vol flies by currency, with top fly by currency noted.





Source: Goldman Sachs Global Investment Research

Treasury Supply Monitor

Gross Treasury auction size estimates by year end, with GS projections

Monthly Auction Amounts at End of Calendar Year ($ billions)	2y FRNs	2y	3y	5y	7y	10y	20y	30y	5y TIPS	10y TIPS	30y TIPS
YE-25 (CY)	30 / 28 (r)	69	58	70	44	42 / 39 (r)	16 / 13 (r)	25 / 22 (r)	26 / 24 (r)	21 / 19 (r)	9 / 8 (r)
YE-26 (CY, GS)	30 / 28 (r)	69	58	70	44	42 / 39 (r)	16 / 13 (r)	25 / 22 (r)	26 / 24 (r)	21 / 19 (r)	9 / 8 (r)
YE-27 (CY, GS)	33 / 30 (r)	83	72	84	58	42 / 39 (r)	16 / 13 (r)	25 / 22 (r)	28 / 26 (r)	21 / 19 (r)	9 / 8 (r)

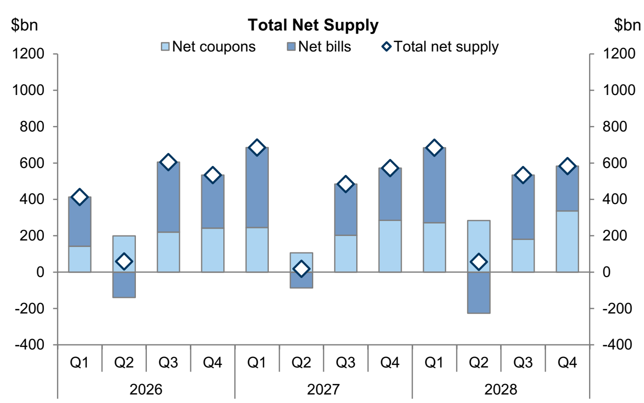
* Original Issue / Reopening listed for FRNs, 10s, 20s, 30s, and TIPS.

US Treasury Net Issuance by Calendar Year ($ billions)	Net Coupons	Fed	Net of Fed	Net Bills	Fed	Net of Fed
CY 2024	1346	-475	1821	511	-23	534
CY 2025	1566	-115	1681	360	38	322
CY 2026, GS	1225	-1	1226	811	422	389
CY 2027, GS	1286	0	1286	927	449	478

Duration supply ($bn 10y equiv)		
Gross supply	Fed	Net of Fed
2765	0	2765
2797	0	2797
2796	0	2796
2929	0	2929

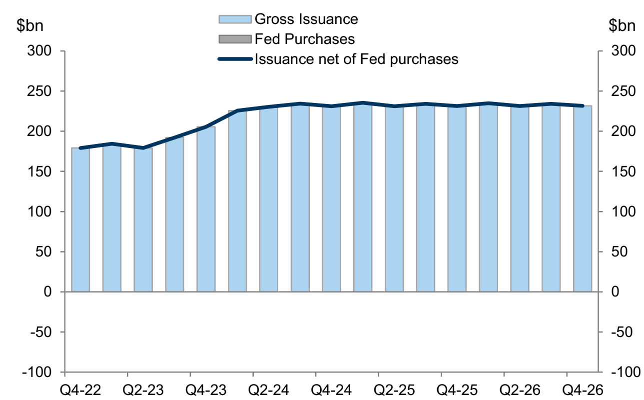
Source: Goldman Sachs Global Investment Research, US Department of the Treasury

Net issuance per quarter



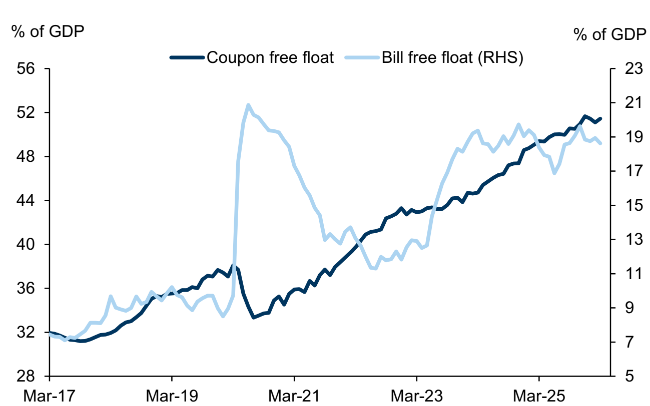
Source: Goldman Sachs Global Investment Research, US Department of the Treasury

Average monthly UST issuance, gross and net of Fed purchases; $bn 10y equivalents



Source: Goldman Sachs Global Investment Research, US Department of the Treasury

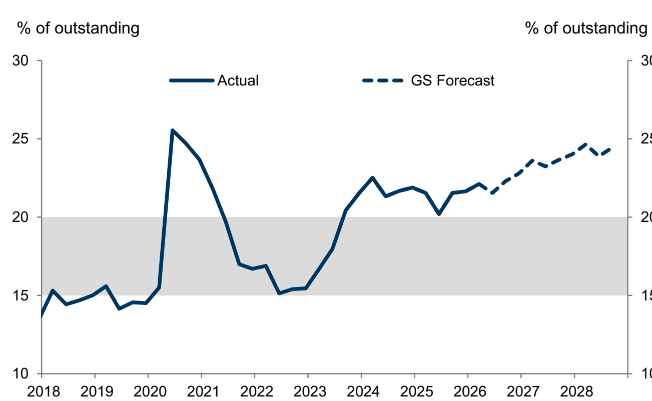
Free float (Treasuries outstanding less Fed and foreign official holdings) as % of GDP



Source: Haver Analytics, US Treasury, Goldman Sachs Global Investment Research

Bills as a share of Treasuries outstanding and GS forecast

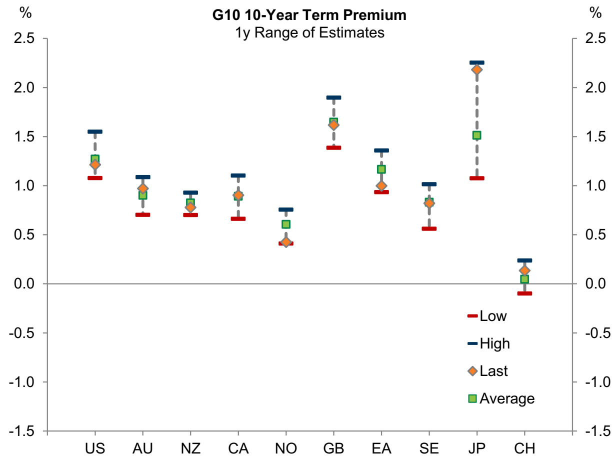
Gray shading denotes TBAC recommended 15-20% range

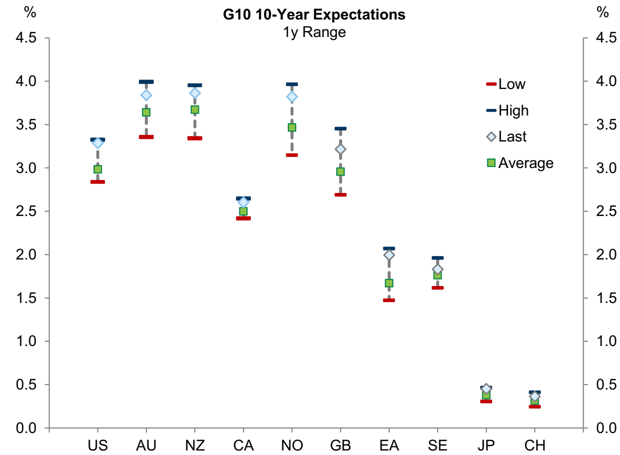


Source: US Treasury, Goldman Sachs Global Investment Research

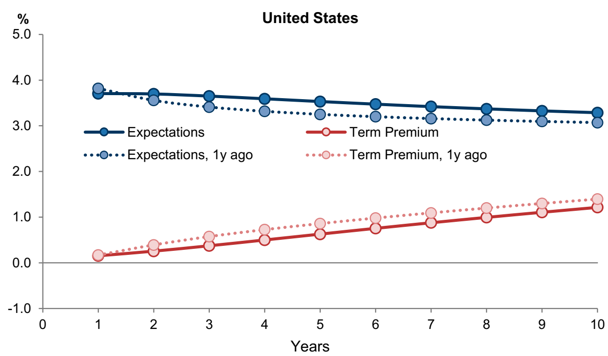
GS Term Premium Decomposition

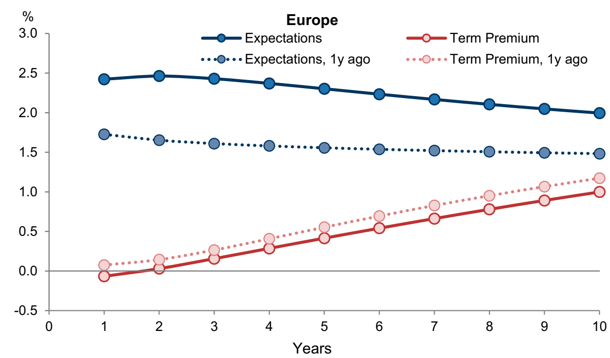
1y Range of G10 10y Yields, by Term Premium and Expectations Components

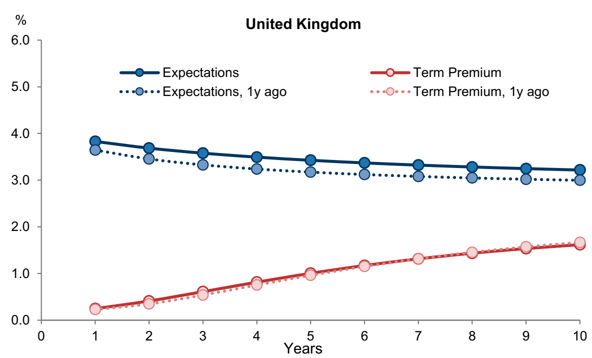


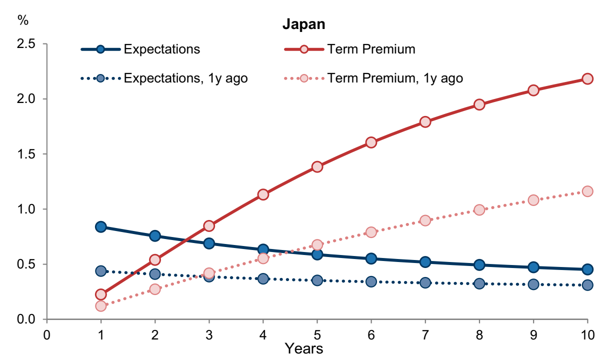


Term Structure of Fitted Yields, by Component









Source: Goldman Sachs Global Investment Research

2026 Trade Recommendations

GS Rates Trades						
Active	**Entry Date**	**Opened**	**Latest**	**Stop**	**Target**	**Performance**
1. Long 3y France, Spain, Italy vs OIS (equally weighted)	10-Apr-26	0.33	0.30	0.32	0.23	+3 bps
2. Long 3y SOFR swap spread	17-Apr-26	-0.226	-0.203	-0.230	-0.180	+2 bps
3. 2s5s CAD steepeners	24-Apr-26	0.20	0.22	0.20	0.35	+2 bps
4. Long 5y5y EUR OIS - HICP	1-May-26	1.09	0.99	1.22	0.88	+10 bps
5. Long 5y Receivers on 3m 2s5s10s Receiver Fly (bp running)	8-May-26	0.01	-0.01	-0.05	0.10	-2 bps
6. 1y forward 2s10s GBP OIS steepeners	29-May-26	0.38		0.25	0.55	
Closed	**Entry Date**	**Closed**	**Performance**			
1. SFRZ6/Z7 steepeners	21-Nov-25	14-Jan-26	+6bps			
2. Long 10y Gilts on ASW	21-Nov-25	30-Jan-26	+12 bps			
3. Long USD 3m2y A-25 receiver vs short 3m10y A-25 receiver (return in bp running)	7-Nov-25	9-Feb-26	-2 bps			
4. 2s5s CORRA steepener	16-Jan-26	13-Feb-26	+0 bps			
5. Receive AUD 5y5y IRS vs pay NZD 5y5y	28-Nov-25	18-Feb-26	+0 bps			
6. Long 20s on 10s20s30s weighted SOFR fly (weights 0.6x : 2x : 1.4x)	1-Aug-25	2-Mar-26	+6 bps			
7. Long SFIU6	30-Jan-26	3-Mar-26	+7 bps			
8. Long 10y Gilts vs Bunds	7-Nov-25	9-Mar-26	+4 bps			
9. 3m10y A+5/A+20/A+27.5 payer ladders (bp running)	20-Feb-26	23-Mar-26	-5 bps			
10. Long 10y NOK vs SEK	13-Feb-26	25-Mar-26	+20 bps			
11. Long EU 30y on the fly against 30y Austria and Spain	27-Feb-26	10-Apr-26	-5 bps			
12. Long USD 3m 2s10s A+10/A+25 curve cap spread (bp of notional)	23-Jan-26	15-Apr-26	-2 bps			
13. USD 3m3y A-5/A-40 receiver spreads	13-Mar-26	30-Apr-26	-7 bps			
14. Long 10y Inflation Swap vs 0.25x Receive 10y SOFR	27-Mar-26	7-May-26	+15 bps			
15. Pay 10s on 5s10s30s SOFR fly	9-Jan-26	8-May-26	-1 bps			

Note: Potential profit/loss estimates are given as per unit of duration risk, through yesterday's close.

Source: Goldman Sachs Global Investment Research

Global Interest Rates Strategy

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